plan for inorganic expansion and said that in the next three years, the company would focus on growing in the ‘beverages space’. Siganporia added that the current range of products covered ‘only 45 per cent of the global beverages space’, providing enough room for growth. Krishna Kumar went a step further and even proposed the acquisition of research companies that could discover the ‘anti-oxidant properties of tea’.

With the strategic plan laid out, in 2007, Tata Tea entered the Chinese market by signing a 70:30 JV agreement with Zhejiang Tea Import and Export Company Limited to establish a ‘green tea extracts and polyphenol extraction unit in China’. It continued with its expansion in the European market, taking over Vitax and Flosana, two well-known Polish tea brands. The company also acquired a 31.73 per cent stake in Mount Everest Mineral Water Ltd, which owns Himalayan Water, in India.

It has been a general policy of the Tata Group, outlined by Ratan, to gain control over the entities that it seeks to acquire. It may enter as a junior partner but aims to buy out the collaborator. When this does not become feasible, it sells its stake. In keeping with this philosophy, Tata Tea and Tata Sons sold their 30 per cent stake in Energy Brands Inc. to Coca-Cola for $1.2 billion at a 77 per cent gain over its purchase price.

While the company continued with its restructuring and acquisitions, at its AGM in 2007, Ratan announced that Tata Tea was considering a ‘host of key strategic initiatives’ which were in line with the company’s ‘long-term ambitions to emerge as a global beverages heavyweight’. He told the shareholders that the company would also change its name at an appropriate time. He planned to amalgamate Tata’s beverage businesses. His goal was to transform the company from a tea enterprise to a ‘wellness and beverage company’. He added that the R&D wing of the company was also exploring possibilities of developing new ‘products/extracts’ that would have a market both in India and abroad.

In the same year, Ratan declared, ‘The company is no longer an Indian company. It is an Indian-owned global company.’ He revealed the management’s intention to further expand to different geographies to achieve a larger ‘global footprint’, a policy that he had underlined in his 1983 Strategic Plan and implemented vigorously in the Tata companies. Tata Tea had already made a mark in the US, Europe and China. Russia and the Commonwealth of Independent States (CIS) nations offered attractive